

# THE LOTUS IN THE SWAMP

The stock market may be in a tailspin and jobs may be scarce, but the spirit of enterprise is as strong in India as the foundations of its economy and the aspirations of its market

By Mohanbir S. Sawhney

These are tough times for entrepreneurs. We are going through one of the worst economic crises in history. The meltdown in financial markets has plunged economies around the world into a recession. Entrepreneurs are finding that investors have all but disappeared and revenues are declining as customers cut back spending. Given these woes in the capital markets and the economy, it seems that this is a very bad time to start a new company or to grow a start-up business.

Yet, history suggests that difficult economic conditions may actually be the best of times for entrepreneurship. Like a lotus that thrives in a dirty swamp, some of the most innovative companies have emerged during deep recessions. And just as the lotus relies on the swamp for its nutrition, start-up companies can actually benefit from difficult economic conditions. The Great Depression of 1929 was the most severe and prolonged economic crisis the world has ever seen. And yet, it was during these times that great companies like Motorola and Texas Instruments were founded. Ironically, it was during the Depression that *Fortune* was launched, when there wasn't much business to talk about. The next biggest recession the United States experienced was in 1982, as the economy shrank by 2.2 per cent and unemployment spiked at 10.8 per cent. However, it was during this time that we saw the birth of the IBM PC, the founding of Sun Microsystems, and the creation of Cisco Systems. These events gave birth to the PC industry, the computer workstation industry and the networking in-

dustry. Twenty years later, as the US was again mired in recession in 2001, Apple launched its first retail store and introduced its revolutionary iPod digital music player. As Steve Jobs noted, Apple does not pay attention to the state of the economy. Instead, it believes that as long as it keeps putting great products in front of customers, they will continue to open their wallets.

Why are difficult economic times a good time for start-ups and innovation? There are several reasons. First, when funding is easy to come by, as it was during the dotcom boom, there is a lot of noise and confusion in the marketplace. Many dubious business concepts get funded, and it is difficult to separate the wheat from the chaff. Start-ups are locked into a mad race to "get big fast", even though they cannot absorb the pace of growth that is demanded by impatient investors. In my experience, far more start-up companies die of indigestion than of starvation. When you get too much money too fast, you end up spending it in foolish ways. And you don't have as much pressure to make the business profitable, because you can always raise more money. Just as homeowners in the US got into trouble when banks lent them more money than they should have, venture investors tend to pressure start-up companies to accept more capital than they need, which can end up getting them into trouble in the long run.

Another reason that recessions are good for start-ups is that customers become more demanding about value for money. So start-up companies are forced to ask themselves hard

**ENTREPRENEURSHIP  
MAY ACTUALLY  
THRIVE IN DIFFICULT**

**ECONOMIC  
TIMES, BECAUSE  
ENTREPRENEURS  
NEED TO BE  
MORE  
DISCIPLINED,  
MORE FOCUSED,  
AND LESS  
DISTRACTIONED BY  
COMPETITION.**